

***"If we are not a little bit uncomfortable every day, we're not growing.
All the good stuff is outside our comfort zone." ~ Jack Canfield***

**NANYANG TECHNOLOGICAL UNIVERSITY
NANYANG BUSINESS SCHOOL
AC1103 – ACCOUNTING I
SEMESTER 1, 2023/2024**

Lesson 2 for week beginning 21 August 2023

Topics:

1. Conceptual framework for financial reporting
2. Elements of financial statements
3. The accounting equation
4. Impact of business transactions on the accounting equation

Learning objectives:

Refer to the course outline.

Reading:

1. STH Chapter 2 (Part A)
2. Conceptual Framework for Financial Reporting – Chapters 1 and 3

Textbook:

1. STH Spiceland D., Thomas W., Herrmann D. (2022), "Financial Accounting", 6th Edition, McGraw-Hill.

Discussion Questions

Question 1

(Applying online lesson on the conceptual framework for financial reporting)

The conceptual framework states that the objective of general-purpose financial reporting is to provide information about the reporting entity that is useful to existing and potential investors, lenders, and other creditors in making decisions relating to providing resources to the entity. Why has the conceptual framework specifically focused on investors, lenders, and other creditors when we know from lesson one that an entity has many other stakeholders?

Question 2

(Applying online lesson on the elements of financial statements and the accounting equation)

The five elements of financial statements are assets, liabilities, equity, income, and expenses. Assets, liabilities, and equity form the statement of financial position, which is a "what do we have" statement for the entity. Income and expenses form the statement of total comprehensive income which is a "what did we do?" statement.

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- (a) Explain the meaning of economic resources and control in the context of assets. Provide examples of assets with explanations of why your example qualifies as an asset.
- (b) Explain the meaning of obligations, transfer of an economic resource, and past event in the context of liabilities. Provide examples of liabilities with explanations of why your example qualifies as a liability.
- (c) Use the accounting equation (assets = liabilities – equity) to explain the concept of equity. Explain, with examples, two sources of equity?
- (d) Use the accounting equation to explain the concept of income and expense. Provide examples of income and expenses with explanations as to why they qualify as such.
- (e) Use the accounting equation (assets = liabilities – equity) to explain the link between the different financial statements.

Question 3

(Applying online lesson on types of business activities)

How do the three business activities of investing, financing, and operations interact to influence the financial performance and growth of a company?

Question 4

(Applying online lesson on the accounting equation)

Below are the transactions for Super Car Washer Pte Ltd for April, the first month of operations.

April 1	Issue shares in exchange for cash of \$30,000.
April 2	Obtain a loan of \$20,000 from the bank.
April 5	Purchase car-washing equipment for \$40,000, 50% paid by cash and 50% on 20-day credit.
April 10	Purchase cleaning supplies of \$4,000 on credit.
April 12	Provide car-washing services of \$5,000 on credit.
April 19	Pay for advertising in a local newspaper, costing \$500.
April 20	Collect \$5,000 from customers for car washing services provided on April 12.
April 25	Provide car-washing services of \$7,000 for cash.
April 25	Paid \$20,000 to supplier of car washing equipment (refer April 5 transaction)
April 28	Paid April's rental, \$5,000.
April 29	Pay employees \$1,500 for work performed in April.
April 30	A utility bill of \$1,200 for April is received.

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April 30 Pay dividends of \$700 to shareholders.

Required:

For each activity, indicate the dollar impact on assets, liabilities, and shareholders' equity for Super Car Washer Pte Ltd and the accounts that will be affected under assets, liabilities, and shareholders' equity for the firm.

Date	Assets	=	Liabilities	+	Equity
April					
1					
2					
5					
10					
12					
19					
20					
25					
25					
28					
29					
30					
30					

Question 5

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(Applying online lesson on accounting concepts and principles)

How do various accounting concepts, such as the business entity concept, monetary unit concept, going concern concept, time period concept, objectivity concept, and historical cost concept, contribute to the accuracy and reliability of financial statements? Provide examples to illustrate to support your answer.

Self-Practice Questions

Question 6

(Applying online lesson on the elements of financial statements)

The 16 accounts mentioned below are selected from SingPost's annual report for the year ended 31 March 2023. Classify each account as asset, liability, equity, income, or expense. Also indicate whether the normal account balance is a debit or credit.

<i>Accounts Name</i>	<i>Reference in SingPost Annual Report</i>	<i>Classification</i>
1. Share Capital	Balance Sheet	
2. Deposits and Prepayments	Note 18	
3. Collections on Behalf of Third Parties	Note 27	
4. Interests Receivable	Note 16	
5. Trade Payable	Note 27	
6. Borrowings	Balance Sheet and Note 28	
7. Trade Receivable	Note 16	
8. Acquired Software Licences	Note 26	
9. Postal Equipment	Note 24	
10. Customer Deposits	Note 27	
11. Wages and Salaries	Note 5	
12. Revenue from logistics	Note 4	
13. Customer Relationships	Note 26	
14. Inventories	Balance Sheet	
15. Retained Earnings	Balance Sheet	
16. Rental Expenses	Note 7	

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Question 7

(Applying online lesson on the accounting equation)

The following balances were taken from the books of Not-So-Easi Pte Ltd, whose financial year ends on 31 July:

	\$
Assets as at 1 August 2012	58,000
Assets as at 31 July 2013	63,000
Assets as at 1 August 2014	75,000
Dividends paid on 30 May 2013	2,000
Dividends paid on 28 February 2014	6,000
Expenses reported during the financial year ended 31 July 2014	63,000
New shares issued on 1 January 2013	4,000
New shares issued on 15 May 2014	2,000
Revenue reported during the financial year ended 31 July 2014	71,000
Liabilities as at 31 July 2012	33,000
Liabilities as at 1 August 2014	38,000
Retained earnings as at 1 August 2012	5,000

Required: Use your knowledge of the accounting equation to calculate the retained earnings as at 31 July 2013.

(Key Answer: \$9,000)

Statement of Financial Position

	Assets	=	Liabilities	+	Equity
1/8/11 to 31/7/12					
1/8/12 to 31/7/13					
1/8/13 to 31/7/14					

Share Capital

	Opening Bal	+	Issued	=	Closing Bal
1/8/11 to 31/7/12					
1/8/12 to 31/7/13					
1/8/13 to 31/7/14					

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Retained Earnings

	Opening Bal	+	Net Income	-	Dividends	=	Closing Bal
1/8/11 to 31/7/12							
1/8/12 to 31/7/13							
1/8/13 to 31/7/14							

Statement of profit or loss

	Income	-	Expenses	=	Net Income
1/8/11 to 31/7/12					
1/8/12 to 31/7/13					
1/8/13 to 31/7/14					

(Hint: fill in accounting equation with the information given and find the missing values)